The authorized capital of the Imperial Bank was fixed at ₹11.25 crores of which ₹3.75 crores in shares of ₹500 each was to be fully paid-up. The remainder of ₹7.5 crores in shares of ₹500 each was also to be partially called up and paid not later than May 31, 1921. By December 31, 1922, both the authorized and paid-up capitals had been attained. Before the Imperial Bank Act of 1920, the Bank of Bombay was the only Presidency Bank in which there was a predominantly Indian shareholding (61.6 percent in 1913) but with the amalgamation this Indian element was overtaken by the European domination of the Bank of Bengal and the Bank of Madras.[2] The liability of the shareholders stood restricted to the paid-up capital of the bank. The paid-up capital of the bank remained unchanged throughout its existence till 1955.[3]

The Imperial Bank Act was modelled on the old Presidency Banks Act of 1876 and shared many of the features of the earlier Act. Superintendence of the affairs and business of the bank was entrusted to a Central Board of Governors. The Act provided for LHOs of the bank to be set up in Calcutta, Bombay, and Madras, and at such other places in British India as the bank, with the previous sanction of the Governor General in Council, would determine. The jurisdiction of the three LHOs or Circles was identical to that of the three Presidency Banks. Although the Act did not specify the establishment of an apex office, a central office of the bank was set up in 1921 to control and manage the affairs of the three Circles. It did not have a fixed locale till the creation of the SBI in 1955 and usually revolved around the three LHOs.[4]

According to the Act, the Central Board was to consist of sixteen Governors made up of not more than two Managing Governors appointed by the Governor General on the recommendation of the Central Board. The composition of the Board included the Presidents, Vice Presidents, and Secretaries of the Local Boards; the Controller of the Currency, or such other government officer nominated by the Governor General in Council; and not more than four non-government officials to be nominated by the Governor General in Council. The Central Board was authorized by the Act to draw up the bye-laws of the bank.[5] The Governor General was empowered to issue instructions to the bank with the specific object of safeguarding government balances or the financial policy of the government. The Controller of Currency, or the officer nominated in his